

Alphabet Inc.

GOOGL NASDAQ

Buy	\$338.52 ▼ 2.33%	12M Price Target \$385.00	52-Week Range \$206.20 – \$408.61	Market Cap \$4.14T
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GOOGL: EU Settlement Dodged, But AI Capex Fears Bite

WHAT HAPPENED

- Stock is down 2.3% today and about 2.5% on the week — the Goldman "AI capex shocker" note is the main culprit. Translation: Wall Street is starting to worry that hyperscalers (GOOGL, MSFT, META, AMZN) are spending WAY more on AI infrastructure than revenue is coming in to justify it. The Oracle headline ("bill arrived before the revenue") is reinforcing that fear.
- The good news buried in the noise: Google avoided a 10% of revenue EU fine by tweaking search rules — that's potentially \$30B+ dodged. Market is ignoring it because the AI spending story is louder right now.

WHY IT MATTERS

The FTC suing Amazon over ad practices is quietly bullish for GOOGL — regulators are picking off competitors one at a time, and Google's ad business already went through its DOJ trial. The bigger question is whether the AI capex panic sticks: hyperscalers are spending ~\$300B combined in 2026, and if cloud revenue doesn't accelerate to match, multiples compress. But Google has the best in-house advantage here — they design their own TPU chips, so they're not writing blank checks to NVIDIA like everyone else. Options flow is interesting: bullish call buying at \$340 for September alongside heavy put buying — smart money is hedged but leaning long, which mirrors how I'd play it.

POLICY & POLITICAL WATCH

The big overhang is the DOJ search remedy — the judge already ruled Google is a monopolist, and the remedy phase (potentially forcing Chrome divestiture or ending default-search deals with Apple) is the swing factor for the next 6 months. On the positive side, the Trump administration's AI executive orders have been friendly to domestic AI leaders and hostile to EU-style regulation, which is why Google was willing to concede on EU search rules rather than fight. Watch for any movement on the bipartisan Kids Online Safety Act and state-level AI disclosure laws — those raise compliance costs but hurt smaller competitors more than Google.

IS IT EXPENSIVE?

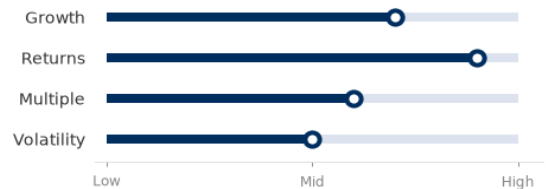
At ~\$338, GOOGL trades around 35x forward earnings — meaning you're paying \$35 for every \$1 of profit expected next year. That's a premium to the S&P (~22x) but a discount to MSFT (~38x) and NVDA. Given Google prints ~\$100B in free cash flow, dominates search, is #3 in cloud and growing 30%+, and has YouTube as a hidden crown jewel, this valuation is fair-to-cheap if — and it's a big if — the AI capex actually generates returns.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$338.52
12M Price Target	\$385.00
Upside / (Downside)	+13.7%
Market Cap	\$4.14T
FY2026E Revenue	\$415M
FY2027E Revenue	\$465M
FY2026E EPS	\$9.75
FY2027E EPS	\$11.20
Fwd P/E	34.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



GOOGL — Alphabet Inc. | August 31, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$355.00	\$342.00	\$320.00
6 Months	\$385.00	\$360.00	\$310.00
1 Year	\$420.00	\$385.00	\$295.00
2 Years	\$500.00	\$430.00	\$280.00
5 Years	\$700.00	\$550.00	\$320.00
10 Years	\$1100.00	\$800.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2% today) — running on tariff/geopolitical premium and the reality that AI data centers need MASSIVE power, so oil & gas and nuclear names are catching the AI trade indirectly. Tech still up 3%+ on the week despite today's wobble.

COOLING OFF: Healthcare and Consumer Staples both down on the week — classic defensive rotation OUT as risk appetite holds up. Staples down nearly 3% in 5 days is meaningful.

ROTATION WATCH: Money is moving from mega-cap AI beneficiaries to the "picks and shovels" — power, cooling, data center REITs — because investors think the capex is going to CONTINUE, they're just questioning whether hyperscalers themselves capture the returns. That's the exact bear case pressuring GOOGL today.

RELATED PLAY: If you believe the AI capex is real but want to sidestep the hyperscaler multiple compression risk, look at Vertiv (VRT), Constellation Energy (CEG), or Broadcom (AVGO) — they get paid whether or not Google's AI investment pays off.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Winning because their AI spend is clearly driving ad targeting improvements — direct revenue attribution, unlike Google's more diffuse benefits.
- MSFT (Microsoft): Copilot enterprise adoption is showing up in Azure numbers, giving them a cleaner AI monetization story.

GOOGL CONTEXT: GOOGL is a middle-of-the-pack Mag 7 performer right now — not leading like META, not lagging like AAPL. The market is waiting for proof that Gemini + Cloud + Search Generative Experience translates to accelerating revenue. Next earnings is the catalyst; if cloud growth prints 32%+, GOOGL closes the gap fast.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-7% of portfolio

Entry Points: \$325-335 on AI capex fear pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: DOJ forces Chrome/Android divestiture, or Gemini loses meaningful search share to ChatGPT

Hedging: Buy short-dated puts, or pair with a short on a pure-play AI capex beneficiary like ORCL